

NCD Small Craft Registration Board (NCD SCRB)

Summary – Proposed Supplementary Provisions to the Small Craft Act 2011

(Working Draft for Board Discussion – 28 October 2025)

1. Background

The **Small Craft Act 2011** provides the legal foundation for the registration, licensing, and operation of small crafts across Papua New Guinea’s maritime provinces. Under this framework, each province is mandated to establish its own Small Craft Registration Board (SCRB), Registrar, and Inspectors to administer the Act.

The **NCD Small Craft Registration Board (NCD SCRB)**, established under the National Capital District Commission (NCDC), operates within a unique metropolitan and coastal environment that differs significantly from traditional maritime provinces. As a result, the practical implementation of the Act in NCD requires additional administrative, operational, and enforcement provisions tailored to the district’s urban, commercial, and enforcement realities.

The proposed supplementary provisions—referred to as the **NCD Small Craft (Administrative Provisions) Regulation**—are intended to complement the *Small Craft Act 2011* and provide clarity, structure, and continuity to the work of the NCD SCRB.

2. Rationale for the Additions

The rationale for developing a supplementary regulation is grounded in the following: -

- **Administrative Gaps:** The Act establishes the framework but does not set out provincial or district-level administrative processes, particularly for coordination between NCDC, MKA, and enforcement agencies.
- **Operational Context:** NCD’s environment involves dense traffic, mixed-use coastal operations (fishing, transport, recreation), and complex enforcement across multiple authorities (Water Police, PNG Ports, NMSA, etc.).
- **Accountability and Governance:** To define clear lines of authority between the Board, Registrar, and Inspectors, ensuring transparency and compliance with both NMSA and NCDC oversight.
- **Digital Transformation:** To formalize the use of digital registration, inspection, and data systems currently being piloted under the NCD SCRB app.

- **Sustainability and Funding:** To institutionalize budget management, fee collection, and remuneration under a regulated framework, ensuring continuity and accountability.
 - **Community Integration:** To align implementation with Motu Koita Assembly (MKA) structures and local community inspectors to enhance safety awareness and compliance at the grassroots level.
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3. Scope of the Supplementary Regulation

The supplementary regulation will **not replace** or **amend** the Small Craft Act 2011. Instead, it will serve as a **supporting instrument** for NCD SCRB operations, focusing on the following key areas:

a. Administrative Provisions

- Board structure, quorum, and tenure of members.
- Delegation of authority to Registrar and Inspectors.
- Meeting procedures, circular resolutions, and record-keeping requirements.

b. Operational Procedures

- Standardized processes for registration, renewal, transfer, and replacement of certificates.
- Use of digital systems for record management, inspection, and vessel verification.
- Clear procedures for inspections, vessel compliance, and issuance of load line markings.

c. Compliance and Enforcement

- Establishment of a **Penalty Points System** and **Default Fine Schedule** tailored to NCD operations, consistent with national standards.
- Clarification of inspector powers and obligations under the law.
- Integration of joint patrol and enforcement mechanisms through the **MOU with the Water Police**.

d. Financial Management

- Governance around the collection, retention, and disbursement of registration and licensing fees.
- Annual budget preparation, financial reporting, and auditing requirements.
- Clarity on use of funds for community awareness, training, and enforcement.

e. Staffing and Remuneration

- Definition of core Registry positions and associated pay bands (aligned with the 2026 Remuneration Budget).
- Procedures for appointment, performance review, and termination.
- Alignment with **NCDC** and **SCMC** standards to ensure sustainability and accountability.

f. Community Engagement and Awareness

- Institutionalizing awareness and education initiatives on safety at sea.
 - Defining the structure for community-based inspectors and collaboration with Motu Koita Assembly ward representatives.
 - Encouraging partnerships with private sector stakeholders (e.g., RPYC, PNG Ports, and local operators).
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4. Expected Benefits

- **Improved Governance:** Clear structure for decision-making, accountability, and reporting.
 - **Operational Efficiency:** Streamlined registration, inspection, and compliance processes through digital systems.
 - **Enhanced Safety:** Strengthened enforcement and awareness leading to safer waterways.
 - **Sustainability:** A formal structure for budgeting, staffing, and long-term continuity.
 - **Partnerships:** Strengthened collaboration between NCDC, MKA, NMSA, and the Water Police through formal agreements.
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5. Next Steps

1. Board endorsement to proceed with the **drafting of the supplementary regulation**.
 2. Engagement with **legal counsel** (Nova Lawyers / NMSA Legal Division) to review scope and ensure consistency with the *Small Craft Act 2011*.
 3. Consultation with **stakeholders** (NCDC, MKA, Water Police, NMSA) for input before formal submission.
 4. Presentation of a final draft to the Board for approval prior to submission to NMSA for review and endorsement.
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6. Governance and Endorsement Framework

Governance Note: Authority, Delegation, and Endorsement

Authority under the Small Craft Act 2011

The *Small Craft Act 2011* is national legislation enacted by the National Parliament of Papua New Guinea to regulate the registration, licensing, and safety of small craft throughout the country.

Under *Part II – Provincial Administration*, the Act authorizes each Provincial Executive Council (PEC), or in the case of the National Capital District, the NCD Provincial Executive Council, to establish a Small Craft Registration Board (SCRB) responsible for administering and enforcing the Act within its jurisdiction.

Delegation and Oversight

The National Maritime Safety Authority (NMSA) is designated under the Act as the national body responsible for policy direction, technical regulation, and coordination of provincial small craft activities.

Accordingly:

- The NCD SCRB operates under delegation from and in coordination with the NMSA.
- The NMSA retains authority to issue policy, procedural, and technical directions binding on all provincial and district boards, including the NCD SCRB.

Scope of Local Authority

The NCD SCRB may:

- Develop and implement administrative rules, operational procedures, and local regulations necessary to give effect to the Act within the NCD;
- Propose supplementary rules or amendments to improve local implementation, provided these do not conflict with the Act or NMSA directives;
- Seek endorsement of such supplementary rules by the NMSA before formal adoption by the NCD Provincial Executive Council.

Requirement for NMSA Endorsement

Any rule, amendment, or policy proposal that:

- Affects or interprets provisions of the *Small Craft Act 2011*;
- Introduces new regulatory or enforcement measures;
- Impacts national standards for registration, licensing, inspection, or safety;
Must be submitted to the NMSA for review and endorsement prior to implementation or enforcement.

Final Adoption

Following NMSA endorsement, the NCD Provincial Executive Council (PEC) shall approve, gazette (where necessary), and authorize implementation of the supplementary rules and related instruments within the National Capital District.

Policy Note: Delegation and Endorsement Process

1. The NCD SCRB, through its Chairperson and Registrar, may draft or commission supplementary regulations to strengthen implementation of the *Small Craft Act 2011* within NCD.
2. All draft regulations must first be reviewed by NCD SCRB members for completeness and consistency with existing legislation.

3. The draft shall be shared with **NCDC, MKA, Water Police Directorate, PNG Ports Corporation**, and the **NMSA Legal Division** for comment.
4. The reviewed draft shall be submitted to **NMSA Legal Division** (and, if applicable, external legal counsel) for vetting and conformity with the Act.
5. Upon completion of legal review, the Chairperson shall formally submit the proposed regulation to **NMSA** for written endorsement under the Act.
6. Once endorsed by NMSA, the regulation shall be recorded in the NCD SCRB Register and implemented under the authority of the Board and Registrar, and submitted to **NCDC** for administrative noting and budget alignment.